TAXATION, GST, FINANCE COMMISSION AND FISCAL FEDERALISM

TAX-INCIDENCE FORK → GST VALUE-ADD CHAIN → SUBSUMED-TAX MAP → OUTSIDE-GST BOUNDARY → GST COUNCIL VOTING BOARD → INTER-STATE SETTLEMENT RAIL

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW · ◆ SUBORDINATE EXTRA · ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

00

STAGE 00 TAX-INCIDENCE FORK

TAX-INCIDENCE FORK · DIRECT TAX · LEGAL INCIDENCE ON INCOME/PROFIT BASE · INDIRECT TAX · TRANSACTION/CONSUMPTION LEVY · BURDEN MAY SHIFT THROUGH PRICES · PROGRESSIVITY REQUIRES INCIDENCE AND BASE ANALYSIS

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
DIRECT TAX → legal incidence on income/profit base	BURDEN may shift through prices	DIRECT TAX → legal incidence on income/profit base
INDIRECT TAX → transaction/consumption levy	PROGRESSIVITY requires incidence and base analysis	INDIRECT TAX → transaction/consumption levy

MEASURE / INSTITUTION
- DIRECT TAX → legal incidence on income/profit base
- INDIRECT TAX → transaction/consumption levy

DECISIVE DISTINCTION
- BURDEN may shift through prices
- PROGRESSIVITY requires incidence and base analysis

VINTAGE / LEGAL LIMIT
- DIRECT TAX → legal incidence on income/profit base
- INDIRECT TAX → transaction/consumption levy

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIRECT TAX → legal incidence on income/profit base.

01

STAGE 01 GST VALUE-ADD CHAIN

GST VALUE-ADD CHAIN · OUTPUT TAX MINUS ELIGIBLE INPUT TAX CREDIT · TAX ON VALUE ADDITION · DESTINATION-JURISDICTION REVENUE

OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT → TAX ON VALUE ADDITION → DESTINATION-JURISDICTION REVENUE

CONCEPT / ACCOUNTING BASIS
- OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT
- TAX ON VALUE ADDITION

TRANSMISSION / RECONCILIATION
- DESTINATION-JURISDICTION REVENUE
- OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT

DISTRIBUTIONAL / STABILITY LIMIT
- TAX ON VALUE ADDITION
- DESTINATION-JURISDICTION REVENUE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUTPUT TAX minus ELIGIBLE INPUT TAX CREDIT; TAX ON VALUE ADDITION; DESTINATION-JURISDICTION REVENUE.

02

STAGE 02 SUBSUMED-TAX MAP

SUBSUMED-TAX MAP · EXCISE ON COVERED ITEMS + SERVICE TAX + CVD/SAD · VAT/CST + ENTRY + LUXURY + SPECIFIED ENTERTAINMENT · REDUCED CASCADING THROUGH ITC · VERIFY ITEM AND LEGAL VINTAGE

UNION → excise on covered items + service tax + CVD/SAD

STATE → VAT/CST + entry + luxury + specified entertainment → RESULT → reduced cascading through ITC → VERIFY item and legal vintage

MEASURE / INSTITUTION
- UNION → excise on covered items + service tax + CVD/SAD
- STATE → VAT/CST + entry + luxury + specified entertainment

DECISIVE DISTINCTION
- RESULT → reduced cascading through ITC
- VERIFY item and legal vintage

VINTAGE / LEGAL LIMIT
- UNION → excise on covered items + service tax + CVD/SAD
- STATE → VAT/CST + entry + luxury + specified entertainment

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATE → VAT/CST + entry + luxury + specified entertainment.

03

STAGE 03 OUTSIDE-GST BOUNDARY

OUTSIDE-GST BOUNDARY · BASIC CUSTOMS DUTY · ELECTRICITY DUTIES · ALCOHOL FOR HUMAN CONSUMPTION · SPECIFIED PETROLEUM PRODUCTS · OWNER-VINTAGE STATUS

MEASURE / INSTITUTION
- BASIC CUSTOMS DUTY
- STAMP / PROPERTY / ELECTRICITY DUTIES

DECISIVE DISTINCTION
- ALCOHOL FOR HUMAN CONSUMPTION
- SPECIFIED PETROLEUM PRODUCTS → owner-vintage status

VINTAGE / LEGAL LIMIT
- BASIC CUSTOMS DUTY
- STAMP / PROPERTY / ELECTRICITY DUTIES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ALCOHOL FOR HUMAN CONSUMPTION; SPECIFIED PETROLEUM PRODUCTS → owner-vintage status.

04

STAGE 04 GST COUNCIL VOTING BOARD

GST COUNCIL VOTING BOARD · ARTICLE 279A · 1/3 WEIGHTED VOTES · 2/3 WEIGHTED VOTES · AT LEAST 3/4 WEIGHTED VOTES

CONCEPT / ACCOUNTING BASIS
- ARTICLE 279A
- CENTRE → 1/3 weighted votes

TRANSMISSION / RECONCILIATION
- STATES → 2/3 weighted votes
- DECISION → at least 3/4 weighted votes

DISTRIBUTIONAL / STABILITY LIMIT
- ARTICLE 279A
- CENTRE → 1/3 weighted votes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATES → 2/3 weighted votes; DECISION → at least 3/4 weighted votes.

05

STAGE 05 INTER-STATE SETTLEMENT RAIL

INTER-STATE SETTLEMENT RAIL · INTER-STATE SUPPLY · IGST COLLECTION · INPUT-CREDIT ADJUSTMENT · DESTINATION SETTLEMENT

INTER-STATE SUPPLY → IGST COLLECTION → INPUT-CREDIT ADJUSTMENT → DESTINATION SETTLEMENT

CONCEPT / ACCOUNTING BASIS
- INTER-STATE SUPPLY
- IGST COLLECTION

TRANSMISSION / RECONCILIATION
- INPUT-CREDIT ADJUSTMENT
- DESTINATION SETTLEMENT

DISTRIBUTIONAL / STABILITY LIMIT
- INTER-STATE SUPPLY
- IGST COLLECTION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INTER-STATE SUPPLY; IGST COLLECTION; INPUT-CREDIT ADJUSTMENT; DESTINATION SETTLEMENT.

06

STAGE 06 COMPENSATION TIMELINE

COMPENSATION TIMELINE · PROTECTED-REVENUE BASE · FIVE-YEAR GUARANTEE · STATED ANNUAL PROTECTED GROWTH · NOT PERMANENT ENTITLEMENT

2015-16 → protected-revenue base → 2017-2022 → five-year guarantee → 14% → stated annual protected growth → TRANSITIONAL → not permanent entitlement

DATED SERIES / INSTRUMENT
- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

WHAT CHANGED
- 14% → stated annual protected growth
- TRANSITIONAL → not permanent entitlement

COMPARABILITY / STATUS LIMIT
- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 14% → stated annual protected growth; TRANSITIONAL → not permanent entitlement.

07

STAGE 07 FINANCE COMMISSION MAP

FINANCE COMMISSION MAP · UNION VERSUS STATES SHARE · DISTRIBUTION AMONG STATES · OWNER RECORDS 41% · 2026-27 TO 2030-31; ACCEPTED 41%

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
VERTICAL → Union versus states share	XV-FC → owner records 41%	VERTICAL → Union versus states share
HORIZONTAL → distribution among states	XVI-FC → 2026-27 to 2030-31; accepted 41%	HORIZONTAL → distribution among states

MEASURE / INSTITUTION
- VERTICAL → Union versus states share
- HORIZONTAL → distribution among states

DECISIVE DISTINCTION
- XV-FC → owner records 41%
- XVI-FC → 2026-27 to 2030-31; accepted 41%

VINTAGE / LEGAL LIMIT
- VERTICAL → Union versus states share
- HORIZONTAL → distribution among states

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: XV-FC → owner records 41%; XVI-FC → 2026-27 to 2030-31; accepted 41%.

08

STAGE 08 DIVISIBLE-POOL BOUNDARY

DIVISIBLE-POOL BOUNDARY · ORDINARY SHAREABLE UNION TAXES · DIVISIBLE POOL · DISTINCT TREATMENT · FEDERAL EFFECT · STATE UNTIED-SPACE CONCERN

ORDINARY SHAREABLE UNION TAXES

DIVISIBLE POOL → CESSES / SURCHARGES → distinct treatment → FEDERAL EFFECT → state untied-space concern

MEASURE / INSTITUTION
- ORDINARY SHAREABLE UNION TAXES
- DIVISIBLE POOL

DECISIVE DISTINCTION
- CESSES / SURCHARGES → distinct treatment
- FEDERAL EFFECT → state untied-space concern

VINTAGE / LEGAL LIMIT
- ORDINARY SHAREABLE UNION TAXES
- DIVISIBLE POOL

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CESSES / SURCHARGES → distinct treatment; FEDERAL EFFECT → state untied-space concern.

09

STAGE 09 ADMINISTRATION AND ENFORCEMENT

ADMINISTRATION AND ENFORCEMENT · UNION DIRECT TAXES · CBIC + STATE ADMIN · INDIRECT TAX · REVENUE DEPARTMENT AGENCIES · FUNCTIONS REMAIN LEGALLY DISTINCT

CBDT → Union direct taxes

CBIC + STATE ADMIN → indirect tax / GST → ED / DRI / DGGI → Revenue Department agencies → FUNCTIONS remain legally distinct

CONCEPT / ACCOUNTING BASIS
- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

TRANSMISSION / RECONCILIATION
- ED / DRI / DGGI → Revenue Department agencies
- FUNCTIONS remain legally distinct

DISTRIBUTIONAL / STABILITY LIMIT
- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ED / DRI / DGGI → Revenue Department agencies.

10

STAGE 10 TAX-BASE EDGE CASES

TAX-BASE EDGE CASES · ALLIED RURAL ACTIVITY · AUTOMATIC AGRICULTURAL INCOME · RURAL AGRICULTURAL LAND · STATUTORY CONDITIONS · EQUALISATION LEVY · SPECIFIED DIGITAL-SERVICE HISTORY · INDIRECT TRANSFER

ALLIED RURAL ACTIVITY != automatic agricultural income

RURAL AGRICULTURAL LAND → statutory conditions → EQUALISATION LEVY → specified digital-service history → INDIRECT TRANSFER → offshore form, Indian-value link

MEASURE / INSTITUTION
- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

DECISIVE DISTINCTION
- EQUALISATION LEVY → specified digital-service history
- INDIRECT TRANSFER → offshore form, Indian-value link

VINTAGE / LEGAL LIMIT
- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EQUALISATION LEVY → specified digital-service history; INDIRECT TRANSFER → offshore form, Indian-value link.

11

STAGE 11 FISCAL-FEDERAL ANSWER SPINE

FISCAL-FEDERAL ANSWER SPINE · DEFINE BASE, INCIDENCE AND DESTINATION · MAP COLLECTION, ITC AND SETTLEMENT · SEPARATE DEVOLUTION, GRANTS AND CESSES · BALANCE HARMONISATION, AUTONOMY AND TRUST

DEFINE base, incidence and destination → MAP collection, ITC and settlement → SEPARATE devolution, grants and cesses → BALANCE harmonisation, autonomy and trust

CONCEPT / ACCOUNTING BASIS
- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

TRANSMISSION / RECONCILIATION
- SEPARATE devolution, grants and cesses
- BALANCE harmonisation, autonomy and trust

DISTRIBUTIONAL / STABILITY LIMIT
- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEPARATE devolution, grants and cesses; BALANCE harmonisation, autonomy and trust.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · TAX DESIGN BALANCES REVENUE ADEQUACY, EQUITY, EFFICIENCY, SIMPLICITY, CERTAINTY · DESTINATION TAXATION REDUCES PRODUCTION-LOCATION ADVANTAGE BUT REQUIRES ROBUST INTER · VERTICAL IMBALANCE ARISES BECAUSE HIGHER LEVELS OFTEN HAVE STRONGER · HORIZONTAL DEVOLUTION CRITERIA BALANCE FISCAL CAPACITY, NEEDS, EQUITY, DEMOGRAPHY · TAX EXPENDITURES THROUGH EXEMPTIONS SHOULD BE EVALUATED LIKE EXPLICIT · COOPERATIVE INSTITUTIONS WORK BEST WHEN DATA, COMPENSATION RISKS AND · GST COUNCIL

OPTIONAL MODEL / MEASUREMENT DEPTH
- CAUTION: Tax design balances revenue adequacy, equity, efficiency, simplicity, certainty and
- CAUTION: Destination taxation reduces production-location advantage but requires robust inter
- CAUTION: Vertical imbalance arises because higher levels often have stronger tax bases while
- CAUTION: Horizontal devolution criteria balance fiscal capacity, needs, equity, demography and

VINTAGE, BASKET OR LEGAL LIMIT
- CAUTION: Tax expenditures through exemptions should be evaluated like explicit spending.
- CAUTION: Cooperative institutions work best when data, compensation risks and compliance burdens
- GST Council: federal forum for recommendations on the GST framework.
- CBIC and state GST administrations: administer indirect taxes and compliance.

COMPARATIVE POLICY NUANCE
- CBDT: administers Union direct taxes.
- Finance Commission: recommends tax devolution and grants; it does not set GST rates.
- CAUTION: A destination-based GST sends revenue towards the state where final consumption occurs
- CAUTION: Input credit reduces tax-on-tax only when invoices, eligibility and compliance

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels